Surprisingly, Indian policymakers did not consider equity as very necessary capital for enterprises. This was partly because most investments were expected to be made by the public sector and there was no difference between equity and debt as far as the public sector was concerned, at least until 1991. As most of the capital was required for the government and public-sector enterprises, all the institutions to mobilize savings were designed and developed to convert savings into debt. The Indian public also felt more secure in the thought that their savings were protected with no likelihood of default by the government and the government-owned public sector and became unenterprising.

The Indian government established quite a few institutions to provide debt to the industry. Beginning with IFCI in 1949 and later IDBI, SIDBI, IDFC, IIFCL and the like, a number of financial institutions or DFIs were established. These institutions primarily provided debt capital to industry. A very small fraction of total funds lent was provided as equity by IDBI and IFCI. The government established the first institution providing equity, the National Infrastructure Investment Fund (NIIF), only in 2017, about seventy years after Independence. There is a proposal to establish another debt-financing DFI for infrastructure debt, as announced in Budget 2021–22.

As a consequence of this lopsided policy and virtual elimination of equity financing in the country, dubious practices developed in the industry on a large scale. Loans were raised from banks and development finance institutions in holding or sister companies to be provided as equity to new enterprises. Businessmen over-invoiced capital expenditure and used the payments received on the side as equity in other enterprises. A number of cases in the National Company Law Tribunal (NCLT) disclose the sordid practice of manipulating bank loans to generate equity.

India paid heavily for this big policy mistake. The financial system is still debt-oriented. The country still lacks availability of equity. Old habits